

Eicher Motors Ltd (EICHERMOT)

Sector: Consumer Discretionary

ROE

22.2%

ROCE

20.2%

D/E

0.02x

OPM

26.2%

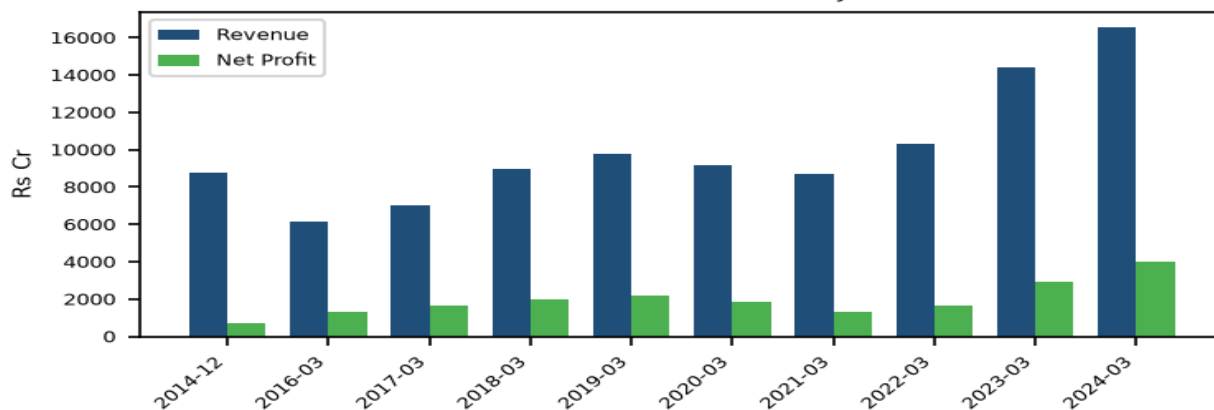
Revenue CAGR 5yr

11.0%

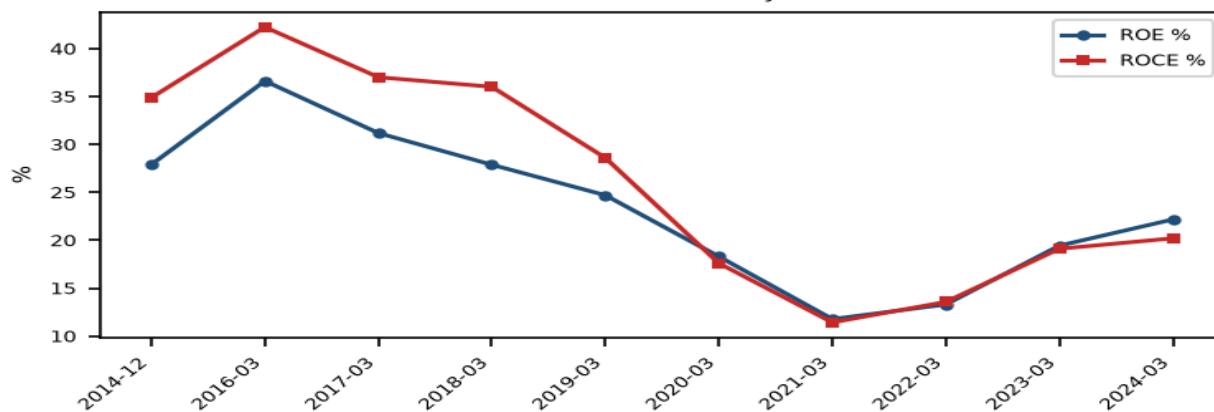
Free Cash Flow

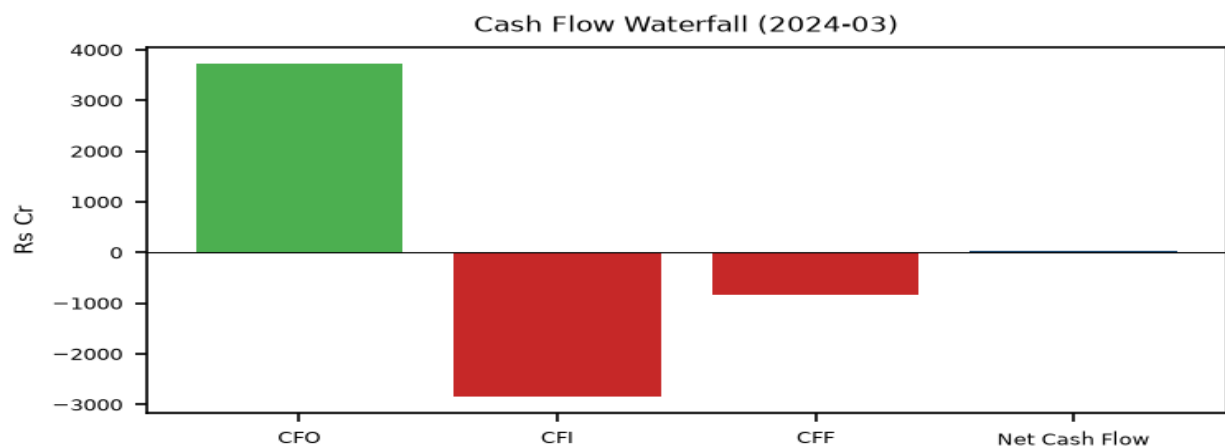
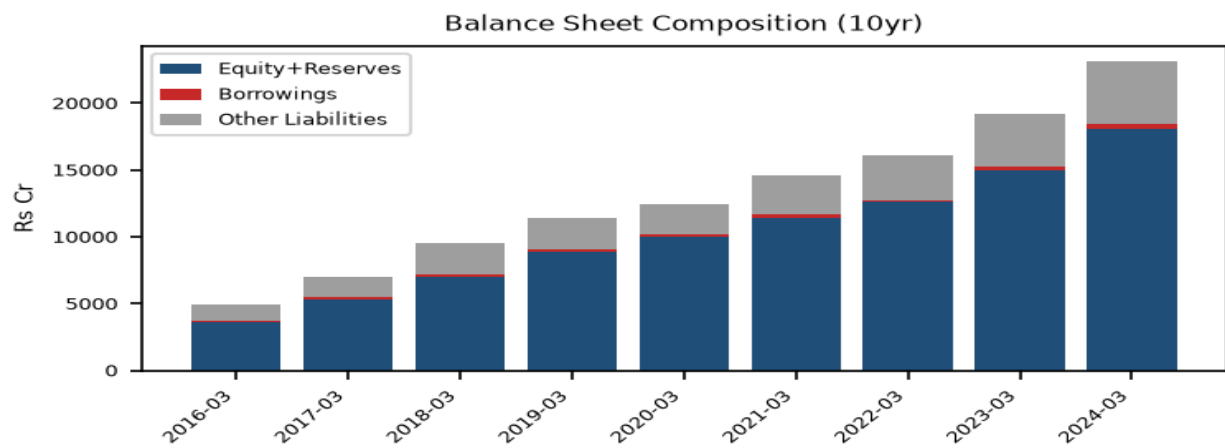
Rs 890 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Reinvestor